IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA) - 68(ND)/2023

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 62(ND)/2023

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF ARRANGEMENT

BETWEEN

M/s. GE INDIA INDUSTRIAL PRIVATE LIMITED

..... Petitioner Company No. 1/ Demerged Company

AND

M/s. GE RENEWABLE R&D INDIA PRIVATE LIMITED

..... Petitioner Company No. 2/ Resulting Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Pronounced On: 05.03.2024

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	:	Mr. P. Nagesh, Sr. Advocate, Mr. Pawan Sharma, Mr. Anuj Shah, Mr. Rishabh Sharma, Advs.
For the IT Department	:	Mr. Parth Semwal and Mr. Abhishek Maratha, Standing Counsels, Advs.
For the Official Liquidator	:	Ms. Hemlata Rawat and Mr. Rahul Bhatt, Advs.

For the Regional Director : Ms. Shankari Mishra, Mr. Himanshu Singhal, Advs.

ORDER

PER: BACHU VENKAT BALARAM DAS, MEMBER (JUDICIAL)

1. The present Second Motion Petition is filed jointly by the M/s. GE India Industrial Private Limited (Petitioner Company No. 1/ Demerged Company) and M/s. GE Renewable R&D India Private Limited (Petitioner Company No. 2/ Resulting Company) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Arrangement between the Demerged Company and Resulting Company and their respective shareholders and creditors (Scheme).

   The Registered office address of each Petitioner Company is situated in the NCT of Delhi and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.

2. The Petitioner Company No. 1 namely M/s. GE India Industrial Private Limited, bearing CIN: U31500DL1992PTC194724 was incorporated on 27/05/1992 under the provisions of the Companies Act, 1956 as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Petitioner Company No. 1 is situated at A-18, First Floor, Okhla Industrial Area Phase-II, South Delhi, Delhi-110020. The Authorized Share Capital of the Company is Rs. 3167,20,00,000/- and the issued, subscribed and paid-up share capital of the Company is Rs. 2547,27,70,575 /-.

3. The Petitioner Company No. 2 namely M/s. GE Renewable R&D India Private Limited, bearing CIN: U74999DL1993PTC053789 was incorporated on 27/05/1993 under the provisions of the Companies Act, 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Petitioner Company No. 2 is

situated at A-18, First Floor, Okhla Industrial Area Phase-II, South Delhi, Delhi-110020. The Authorized Share Capital of the Company is Rs. 25,00,00,000/- and issued, subscribed and paidup share capital of the Company is Rs. 20,50,00,000/-.

4. It is stated that the Resulting Company viz., M/s. GE Renewable R&D India Private Limited has moved the necessary second motion Petition being **CP (CAA) – 68(ND)/2023** connected with the first motion Application being **CA (CAA) – 62(ND)/2023**, before the National Company Law Tribunal, New Delhi.
5. Affidavits in support of the above petition have been sworn by Mr. Randeep Singh Thakur, Company Secretary of Petitioner Company No. 1 and by Mr. Vishal Jain, Authorised Signatory of Petitioner Company No. 2, who have been authorized vide board resolutions for all the Applicant Companies and have been duly filed, along with the petition.
6. The Board of Directors of the Petitioner No. 1/Demerged Company as well as the Board of Directors of the Petitioner No. 2/Resulting Company in their separate meetings held on 31.07.2023 approved and adopted the Scheme of Arrangement wherein it is proposed to transfer and vest the Demerged Undertaking of the Applicant No. 1 Company/ Demerged Company with and into the Applicant No. 2/Resulting Company on a going concern basis in accordance with the terms of the Scheme of Arrangement.
7. The Rationale for the Scheme of Arrangement

   "(i) The Demerged Company is a flagship industrial entity for General Electric Company ("GE") in India and is engaged in multiple businesses, inter alia, through the following businesses or divisions, namely:

   a) Onshore Wind Renewable Undertaking consisting of two businesses or divisions, namely: (i) the ONW Manufacturing Undertaking, which is engaged in the business of manufacturing and assembling, selling, installing and commissioning of onshore wind turbines: and (ii) the

ONW Services Undertaking, which is engaged in the service and maintenance. including sale of parts, of onshore wind turbines;

b) Hyderabad Technology Centre (HTC) Undertaking, which is engaged in the business of software development and engineering design services in the renewable energy and power sectors;

c) JFWTC Undertaking; consisting of, inter alia, two businesses or divisions, namely: (i) the JFWTC Aerospace Undertaking; and (ii) the JFWTC Power & Renewable Energy Undertaking, each of which are engaged in the business activities set forth below:

JFWTC Aerospace Undertaking:

Following are the business activities carried out by the JFWTC Aerospace Undertaking:

(i) New product design & development. Research & Development (R&D), testing, software design development & mechanical and instrumentation engineering services and engineering support services, gas turbines, material sciences and processes, catalysis and advance chemistry, product and process, polymer science and synthetic materials, electric, electronic and mechanical systems engineering and support services, research;

(ii) Research on materials solutions, gas turbines, thermos sciences, physical-digital analytics, imaging and controls;

(iii) R&D, engineering and analysis of aircraft engine components;

(iv) R&D on product design, testing, software design & mechanical and instrumentation engineering services:

(v) R&D on enterprise resource management, e-commerce, telecom and IT and other applications;

(vi) Digital technology for product management, data and analytics, supply chain, security risk, compliance and finance systems;

(vii) Support for global functions team for various areas, including payroll processing, global sourcing, etc.; and

(viii) Operations, support, grant of access to use facilities at the Research Centre, access to equipment and computer network or

internal IT network in order to enable business of collocated entities.

JFWTC Power & Renewable Energy Undertaking:

Following are the business activities carried out by the JFWTC Power & Renewable Energy Undertaking:

(i) New product design & development, R&D, testing, software design development & mechanical and instrumentation engineering services and engineering support services, gas turbines, steam turbines, material sciences and processes, catalysis and advance chemistry, product and process, polymer science and synthetic materials, electric, electronic and mechanical systems engineering and support services, research;

(ii) Research on materials solutions, gas turbines, renewable energy thermos sciences, physical-digital analytics, imaging and controls:

(iii) R&D on product design, testing, software design & mechanical and instrumentation engineering services:

(iv) R&D on enterprise resource management, e-commerce, telecom and IT and other applications;

(v) Digital technology for product management, data and analytics, supply chain, security risk, compliance and finance systems;

(vi) Support for global functions team for various areas, including payroll processing., global sourcing, etc.; and

(vii) Operations, support, grant of access to use facilities at the Research Centre, access to equipment and computer network or internal IT network in order to enable business of collocated entities.

d) Energy Applications and Systems Engineering (EASE) Undertaking, which is engaged in the business of provision of engineering consultancy services in the power sector;

e) Aviation Undertaking, which is engaged in the business of provision of repair services for propellers:

f) Additive Undertaking, which is engaged in the business of sale of additive machines and services;

g) Multi Modal Facility (MMF) Undertaking, which is engaged in the business of manufacturing and selling products to GE businesses and external customers in India and rest of the world:

h) One Corporate Undertaking, which is engaged in the business of providing essential back-office support services to GE entities inter-alia in the field of legal, government relations, communications, finance, human resources operations, payroll operations, capital and treasury, marketing and support, facility management, IT support activities, etc.;

i) Grid Centre of Excellence Undertaking, comprising of Indian Engineering resources (Grid Solutions), which is engaged in providing engineering services to global grid solutions technology to GE entities; and

j) The Energy Undertaking, which is engaged in the business of providing marketing and sales support, project management and consultancy services to GE entities in power sector;

(ii) GE announced its intention to split into three independent companies, one of which will be engaged in the each of its Healthcare, Aviation and Energy businesses; while the split of its Healthcare business has already occurred, the split of its Energy business is expected to occur in early 2024.

(iii) Accordingly, in pursuance of the said split of GE's Energy businesses, the Demerged Company commenced the process of separation of GE's Energy business in by demerger of following 6 undertakings into its another wholly owned subsidiary namely GE Renewable Energy Technologies Private Limited:

a. Onshore Wind Renewable Undertaking,

b. Hyderabad Technology Centre (HTC) Undertaking:

c. JFWTC Power & Renewable Energy Undertaking;

d. Energy Applications and Systems Engineering (EASE) Undertaking;

e. Grid Centre of Excellence Undertaking; and

f. Energy Undertaking.

(iv) While the petition for sanction of the said demerger scheme of the said 6 undertakings was pending consideration before the National

Company Law Tribunal, New Delhi Bench (the "Tribunal"), the board of directors of the Demerged Company and GE Renewable Energy Technologies Private Limited decided to remove the transfer of the Onshore Wind Renewable Undertaking from the said ongoing scheme.

(v) On an application for amendment of the said ongoing scheme, the Tribunal vide its order dated 30.05.2023 permitted the amendment of removal of transfer of the Onshore Wind Renewable Undertaking from the said ongoing scheme.

(vi) Accordingly, the said petition/ scheme now seeking sanction for the transfer of only 5 undertakings, not including the Onshore Wind Renewable Undertaking.

Since the removal of transfer of the Onshore Wind Renewable Undertaking from the said ongoing scheme, the Board of Directors of the Demerged Company and the Resulting Company have decided to further streamline the business operations of the Demerged Company through a scheme of demerger of the ONW Services Undertaking into the Resulting Company pursuant to Sections 230-232 and other applicable provisions of the Act (the "Demerger") which is in the interest of shareholders and creditors of both the companies involved in the Scheme on account of the following reasons:

a) The Demerger is in the interest of shareholders of both the Companies involved in the Scheme and will enable the Demerged Company and the Resulting Company to achieve and fulfill their objectives more efficiently and offer opportunities to the management of both the companies to vigorously pursue growth and expansion opportunities:

b) The Demerger will enable shareholders to separately hold investments which best suit their investment strategies and risk profiles;

c) The Demerger is expected to result in the following benefits to both the Demerged Company and the Resulting Companies, and their respective businesses and their shareholders:

- *more focused business and management control;*

- *greater efficiency and more optimal utilisation of resources;*
- *enhanced value for all stakeholders of the respective companies involved in the Scheme; and*
- *operational efficiency, cost rationalization, and effective capital allocation.*

d) The companies involved in the Scheme have mutually agreed to have the Appointed Date (hereinafter defined) as the Effective Date (hereinafter defined) for the purposes of Demerger (hereinafter defined) of the Demerged Undertaking (hereinafter defined), of the Demerged Company and vesting thereof into Resulting Company in the context of the aforementioned rationale;

e) The Scheme is not, in any manner, prejudicial or against public interest and would serve the interest of all shareholders, creditors or any other stakeholders.

vii) In view of the above rationale, the Board of both the Companies recommended this Scheme of Arrangement whereby the Demerged Undertaking of the Demerged Company will be demerged into the Resulting Company as a going concern with effect from the Appointed Date (hereinafter defined). Accordingly, the Board of Directors of the Demerged Company and the Resulting Company have decided to make requisite applications and/or petitions before the Tribunal as the case may be, as applicable under Sections 230 to 232 of the Act (hereinafter defined) and other applicable provisions for the sanction of this Scheme."

8. This Tribunal by its order dated 17.08.2023 dispensed with the requirement from convening and holding of the meetings of the Secured Creditor of both the Applicant Companies and for the convening of the meeting of Equity Shareholders and Unsecured Creditors of both the Applicant Companies, as sought through first motion application.
9. The Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Arrangement for issuance of notices. This Tribunal vide order dated 25.10.2023 directed to issue notice to

the Regional Director (Northern Region), Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana, Ministry of Corporate Affairs, Income Tax Department, Official Liquidator attached to the High Court Of Delhi and Such other Sectoral Regulatory Authorities who shall be affected by the proposed Scheme and to such other Objector(s), if any and also directed that the notice be published in two newspapers i.e., Financial Express (English) and Jansatta (Hindi) Delhi Edition.

10. It is submitted by the Petitioner Companies that in compliance of the above-stated directions, the Petitioners duly filed an Affidavit of Service dated 10.11.2023 by confirming that the aforesaid Notices of the present Company Petition were published on 06.11.2023 in Financial Express (English) and Jansatta (Hindi) newspapers Delhi edition.

    It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities as per the direction given by this Tribunal dated 25.10.2023.

11. The Income Tax Department vide it's report dated 18.12.2023 submitted to this Tribunal stating therein that they have no objection with respect to the present Scheme of arrangement but has made certain observations. The petitioner companies filed reply dated 05.01.2024 in response to the observations made by Income Tax Department, wherein the petitioner companies gave an undertaking to appropriately comply with the observations made by the Income Tax Department.

12. The Regional Director along with the Registrar of Companies vide it's report dated 19.12.2023 has not objected to the proposed scheme of the arrangement but has made certain observations. The petitioner companies filed reply dated 14.12.2023 in response to the observations made by the Regional Director, wherein the petitioner companies gave an undertaking to appropriately comply with the

observations made by the Regional Director along with the Registrar of Companies.

13. This Tribunal vide Order dated 18.12.2023 recorded that the Report of the Official Liquidator is not required, since, it is a case of demerger.

14. The Petitioner Companies shall maintain account in accordance with and as per the method of arrangement prescribed in the applicable Indian Accounting Standard as notified under Section 133 of Companies Act, 2013 read together with Paragraph 3 of the Companies (Indian Accounting Standard) Rules, 2015 and other accounting principles generally accepted in India.

    In this regard, Certified true copies of Certificates obtained from the Statutory Auditors of all the Petitioner Companies confirming the accounting treatment proposed in the Scheme of Arrangement are filed along with the Petition.

15. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Companies under Sections 235 to 251 of the Act or under Sections 206 to 229 (Chapter XIV) of the Act. To the knowledge of each of the Petitioner Companies, no winding-up petition (including under Section 433 read with Section 434 of the Companies Act, 1956) and/or insolvency proceedings have been filed/instituted and are pending against either of the Petitioner Companies. None of the directors of the Petitioner Companies have any material interest in the Scheme except to the extent of their directorships and shareholding in the Petitioner Companies. This Joint Second Motion Petition is made bona fide and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

16. **Analysis and Finding:**

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Petitioner Companies and the Scheme will be

beneficial to the Petitioner Companies and their respective shareholders and creditors.

ii. The shareholders of the Petitioner Companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Petitioner Companies, their respective shareholders, creditors, employees and all concerned.

In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

17. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioner Companies shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any

permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 230 (1) of the Act, the Resulting Company shall until the full implementation of the Scheme of Arrangement filed stated in Form CAA 8 along with the required fee as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointed date means the Effective Date and the Effective Date means the date on which the certified copies of the orders of the Tribunal sanctioning this Scheme is last filed by the Demerged Company and the Resulting Company with the RoC by as per the provisions of the Act, as proposed in the Scheme of Arrangement by the Petitioner Companies is confirmed by this Tribunal.

18. This Tribunal does further order:

i. The Present Scheme of Arrangement involves demerger of the ONW Services Undertaking of the Petitioner No. 1/ Demerged Company and vesting thereof into the Petitioner No. 2 / Resulting Company.

ii. All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Demerged Company is entitled to in respect to the aforesaid undertaking, including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/ deductions, shall, to the extent statutorily available and along with associated obligations stand transferred to and be available to the Resulting Company as if, the Resulting Company was originally entitled to all such benefits, entitlements, incentives and concessions;

iii. All contracts of the Demerged Company in respect of the aforesaid Undertaking, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in

the Resulting Company and be in full force and effect in favor of the Resulting Company and may be enforced by or against it as fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a party or beneficiary or obliged thereto;

iv. All the employees of the Demerged Company with respect to the aforesaid Undertaking shall be deemed to have become the employees and the staff of the Resulting Company with effect from the Appointed Date, and shall stand transferred to the Resulting Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Demerged Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

v. All liabilities of the Demerged Company, shall, pursuant to the provisions of Section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, with respect to the aforesaid undertaking, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Resulting Company and shall be exercised by or against the Resulting Company, as if it had incurred such liabilities.

vi. All proceedings now pending by or against the Demerged Company with respect to the aforesaid undertaking be continued by or against the Resulting Company.

vii. The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Demerged Company and the Resulting company, in respect of the assets sought to be transferred under the proposed scheme.

viii. That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

19. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/68 (ND)/2023** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

Sd/-	Sd/-
(ATUL CHATURVEDI)	**(BACHU VENKAT BALARAM DAS)**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**